

## SOURCES & UTILIZATION FUNDS

NTC has sourced funds amounting to Rs.8018.21 crores from various sources and has utilised Rs.7134.12 crores on various heads of expenditure i.e. modernisation, redemption of bonds, payment of MVRS compensation, payment for working capital. As per the 2nd modified scheme approved by BIFR in May 2008 the Spindle capacity will be increased from 6 lakhs to 9 lakhs spindles. Accordingly, the total cost of modernisation would be Rs1155 Crores instead of Rs 530 Crores in the first revised scheme and the total cost of Revised Rehabilitation Scheme would be Rs 9103 crores (effective cost of Rs.7075 crores) after adjusting the cost of Rs 2028 crores Bonds Redemption.

## WORLD TRADE AND NTC

NTC has begun exporting yarn of 20s, 40s, 2/20s, 2/40s & 60s combed variety to US, Bangladesh and European markets. It is also exporting bed sheets and towels to these countries.

western region mills.

The Revival Process encompasses Administrative, Finance and Technical restructuring. Some of the special ventures undertaken by NTC as part of the Revival Process:

### GREENFIELD UNIT IN AHMEDABAD:

In a new venture the Rajnagar Mills-2 will have a 36000 spindles, 72 shuttle-les looms capacity to produce grey cloth at an estimated cost of Rs 122 crores.



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## ACTION UNDERWAY TO IMPROVE THE PERFORMANCE OF N.T.C. MILLS

1. Product-mix change has been gradually implemented changing from cotton counts to PV/PC counts and other blended specialized yarns to tap new markets.
2. New export markets are being identified. ISO certification is being obtained for more units
3. Energy Audits being done with the help of PCRA.
4. MIS system are being instituted for real time monitoring through LAN & WAN.
5. Modernization has been completed in 12 units by end of September 2008. Modernization of 3 units shall be completed by January 2009 and 1 unit at Kolkata would be modernized by March 2009
6. 2 units on turn key basis would also be modernized by March 2009
7. Out of 4 relocation units, machines up to spinning would be installed in 3 mills by March 2009 and for 1 unit namely Udaipur Cotton Mills, Beawer the proposal is to modernize it with new technology, i.e. Technical Textiles (Geo-textiles)
8. Controllable factors are being given added emphasis other than non-controllable ones like market conditions and raw material cost/ power rate/shortage
9. Rationalization on the basis of increased work load has been taken up in the Southern as well as Western Region mills

## FIGURES SPEAK ON CHANGING PERFORMANCE OF N.T.C. (RS IN CRORES)

| PARTICULARS                                      | Before mod.<br>(in 2001-02) | After mod.<br>(in 2007-08) |
|--------------------------------------------------|-----------------------------|----------------------------|
| 1 ORGANIZATIONAL STRUCTURE<br>(10 companies)     | HC + 9 Subs<br>(1 company)  | Subs merged in HC          |
| 2 NO OF WORKING MILLS                            | 119                         | 24                         |
| 3 TURNOVER                                       | 454.49                      | 483.92                     |
| 4 PRODUCTION VALUE                               | 474.00                      | 652.95                     |
| 5 CASH LOSS                                      | (403.44)                    | (116.89)                   |
| 6 % OF NET CONTR.TO WAGES                        | 15.82 %                     | 24 %                       |
| 7 MILLS GENERATING > 100% CONTR.                 | NIL                         | 3                          |
| 8 MAX.CAPACITY UTILISATION (%)                   | 75.99 %                     | 82 %                       |
| 9 WORKING CAPITAL                                | Not available               | Sufficient                 |
| 10 NO OF EMPLOYEES (AS ON DATE)                  | 78,946                      | 12,490                     |
| 11 EMPLOYEES OPTED MVRS (UP TO DATE)             | NIL                         | 59,252                     |
| 12 MVRS AMOUNT PAID (UP TO DATE)                 | NIL                         | 2132.22                    |
| 13 SALE OF ASSETS (UP TO DATE)                   | NIL                         | 4034.09                    |
| 14 WAGE SUPPORT FRIN THE GOVT.<br>(FOR THE YEAR) | 385.00                      | 62.50                      |

## ACTION PLAN

Envisaging high growth following the rapid modernisation measures NTC has drawn up a stringent action plan to start showing results. To aid the growth process product-mix change has been gradually implemented changing from cotton counts to PV/PC counts and other blended specialised yarns to tap new markets. To help grow the markets new export markets are being identified and ISO certification is being obtained for more units.

Energy Audits are being done with the help of PCRA in all the NTC units and an elaborate MIS system is being instituted for real time monitoring through LAN & WAN. Modernisation of 15 units shall be completed by January 2009 and one unit at Kolkata would be modernised by March 2009. Two more units on turn key basis would also be modernised by March 2009. Controllable factors are being given added emphasis other than non-controllable ones like market conditions and raw material cost/ power rate/shortage. Rationalisation on the basis of increased work load has been taken up in the southern as well as

## TEXTILE PLAZA:

An Indian Textile Plaza is under construction at Ahmedabad with facilities like Handloom & Handicrafts Mall, Exhibition Hall, Convention Hall, Theater Complex, Food Court, Children Plaza, Youth & Women Training Center & City Plaza by NTC forming SPV with National Building Construction Corporation (NBCC).

## ISO CERTIFICATION FOR NTC MILLS:

NTC mills like Murugan Mill, Barshi Mill and Cambodia Mill at Coimbatore have received ISO certification. Two more mills – Pankaja and Kaleeswarar-B may also get ISO certification very soon.

## IN-HOUSE GARMENTING BY NTC IN SEZ AREA:

Minerva Mills, Hassan will have 43200 spindles, 48 shuttle-less looms, and 40000 metres per day of processed cloth capacity at an estimated cost of Rs 166 crores. The unit will further expand into garment manufacture.